

advantaged way to build wealth. The IRS has a rule by which you can exclude up to \$250,000 of capital gains from the sale of your home as an individual, and up to \$500,000 on the sale of your home as a married couple.

What does that mean? If you experience a combination of market and forced appreciation and you're sitting on a big chunk of change, then—wait for it—you don't have to pay taxes on that gain when you sell your home.

There are rules, of course. You must have lived in the property as a primary residence for two or more of the last five years—so it can't be rented out to others for five years straight, and it can't be a house that you flip for profit with a quick turnaround time. If you follow these rules, you're in a good spot to make tax-free money on the sale of your home.

This may sound like a trap, but it's actually the basis of a specific investing strategy called the *live-in flip*. In essence, the investor fixes up a house that they live in for more than two years; then they sell the home without paying any taxes on that gain. Mindy has completed ten such successful exits from her primary residence with a tax-free capital gain each time.

There is a saying, however, that you shouldn't "let the tax tail wag the dog"—basically, don't make a financial decision based solely on its tax implications. You never want to make a poor economic choice just to save money on your taxes, but you should still be aware of the rules related to selling or keeping your property. For example, it would be a shame to buy a home, improve it, live there for one year and ten months, then move out and sell it. If Erin from our previous example did this with her renovated home, that \$125,000 gain in property value could cost her up to \$40,000 in taxes when selling the property.

The same applies to renting the property. You buy a house, improve it, live there for a few years, move out, keep it as a rental property for four years, and *then* try to sell it. That's one year too many as a rental property, and that one year can cost you tens of thousands of dollars in taxes.

When it comes to the decision to sell or rent your home, a consultation with a knowledgeable CPA may help you make, or keep, a massive amount of money. Don't let the tax tail wag the dog, but don't chop off the tail, either. (Unless you are a highly trained and trustworthy veterinary professional.)